

This \$1.3B/Year Beauty Brand Is Scaling Like Crazy On Shopify

Channel: Arie Scherson · Published: Jun 11, 2026 · Watch: <https://www.youtube.com/watch?v=EsWzmlZVMSM> Source: full transcript

Executive Summary

e.l.f. Cosmetics generates \$1.3B/year by selling affordable, high-quality beauty products everywhere — DTC, Target, Sephora, Ulta — while leaning on organic TikTok, influencer marketing, and a landmark \$1B+ acquisition of Rhode Cosmetics to compound its brand value.

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Brand Overview & DTC Traffic 0:00

- e.l.f. Cosmetics described as "the fastest scaling beauty brand in America right now"
- Grew from selling dollar beauty products to **\$1.3 billion/year** in revenue
- DTC Shopify store pulls **3.8 million monthly visitors**, primarily from the US
- Also has massive retail presence — in every Target, Sephora, and Ulta in America
- Store design is intentionally simple — comparable in structure to a basic Shopify dropshipping store
 - The host frames this simplicity as a deliberate, smart choice rather than a limitation

Best-Selling Products & Value Proposition 0:24

- **Power Grip Primer** is one of their top-selling products on the DTC store — priced at **\$10**
- Core value proposition: high-quality products at **drugstore/affordable prices**
 - This positioning is described as "brilliant" given current inflation across all consumer categories

- Host notes the brand is experiencing some stock valuation turbulence, but revenue numbers remain strong
- Ads lead to **collection pages** rather than single product pages
 - Rationale: smart when you have a large catalog
 - Caveat for beginners: start with a single product page to build an initial customer base before expanding

Subscription Revenue Model 1:33

- e.l.f. offers subscriptions on their Shopify store
- Host frames subscription e-commerce as one of the most powerful business models available:
 - Physical product component cannot be automated away by AI
 - Recurring revenue mirrors the predictability of a SaaS/software business
- Host is personally building his own subscription brand with a goal of **\$1 million/month in recurring revenue**

Meta Ads Strategy — Lean but High-Intent 1:56

- e.l.f. is running only **40 active Meta ads** — unusually low for a \$1.3B brand
 - For context, the host knows brands doing \$20M/year running 10x more ads simultaneously
- All 40 ads are described as high-intent and high-quality — quantity sacrificed for quality
- Ads are cycled frequently; many have been active for only **one week or less**
 - Strategy keeps content fresh and brand top-of-mind
 - Downside: frequent cycling **prevents Meta's algorithm from fully optimizing** on any single ad
- Host's advisory recommendation: increase the number of active ads significantly
 - Meta's machine learning is powerful enough to find the right buyer — but only if given enough creative variety to work with
- Ad formats observed:
 - **6-second highest-impression ad**: "Soft Glam Cream Blush + Bronzer. Only \$9 each." — pure price focus
 - **15-second second-highest-impression ad**: Lip Balm product; summer/pink lemonade/blue razz theme; price point \$9
- Host critique: ads focus almost entirely on price, but don't mention quality
 - Suggests returning to the original angle of "luxury quality for drugstore prices" to reinforce value beyond cheapness

Target Customer Avatar 4:41

- Host ran an **AI comment analysis on e.l.f.'s Facebook comments** to identify their primary customer
- Result: primary avatar = **"trendy everyday beauties"**
 - Descriptor matches the people shown in their top-performing ads

- e.l.f. clearly understands this avatar and tailors their entire marketing strategy to it

TikTok & Organic Marketing Engine 6:14

- The main reason e.l.f. runs so few Meta ads: their primary growth engine is **organic marketing**
 - Community building
 - Influencer partnerships
 - Live events
- e.l.f. has an active **TikTok Shop** generating **\$1.3 million/month**
 - Over the last 180 days, revenue has been somewhat flat but consistently above \$1M/month
- TikTok Shop content quality is described as "seriously amazing" — among the best the host has seen

Missed Opportunity: TikTok Content → Meta Ads 7:01

- Host's biggest strategic note: e.l.f. should be **licensing top TikTok Shop creator videos and running them as Meta ads**
 - He "could pretty much guarantee" this content would outperform their current Meta ad creative
 - Creator-generated content from TikTok Shop is exceptionally powerful as paid ad material
- Why organically-proven content outperforms on paid:
 - When you run a paid ad on Meta, you are essentially telling Meta's ML to go find buyers using that piece of content
 - If the content already performs well organically on the platform, Meta's algorithm **favors it in ad auctions**
 - Result: more purchases at a lower cost
- e.l.f. is already doing this partially on TikTok Shop (top videos are also running as ads there) but not on Meta
- The broader framework the host endorses:
 - Step 1 — Generate as much organic content as possible
 - Step 2 — Identify best-performing organic content
 - Step 3 — Amplify those top performers with paid ads
- Note for smaller teams: AI-generated content can substitute for TikTok Shop volume if resources are limited

"Things that perform well on TikTok Shop organically... perform extremely well with paid ads. The paid ads engine is really going to favor that content."

Investor Perspective & Rhode Cosmetics Acquisition 7:46

- Host is a personal investor in e.l.f. Cosmetics stock

- Began buying around **\$53/share average** — holds long term
- Quantitative picture (mixed):
 - Current market cap: **~\$3.5 billion**
 - Annual revenue: **\$1.3 billion**
 - Price-to-earnings ratio: high — making it quantitatively expensive by traditional metrics
- Qualitative thesis (bullish):
 - e.l.f. **owns Rhode Cosmetics** — Hailey Bieber's brand, acquired for **over \$1 billion**
 - Rhode has nearly the same DTC traffic as e.l.f. but with **premium/luxury price points**
 - Rhode generates some of the highest social engagement the host has ever seen
 - Example: **400,000 likes on a single brand post** — described as "historic" and unprecedented
 - Host's personal valuation estimate for Rhode standalone: **~\$3 billion**
- Investment thesis summary:
 - By owning e.l.f. stock, you effectively get the entire e.l.f. brand and revenue "for free" because Rhode alone could justify the current market cap
 - Host plans to do a dedicated Rhode Cosmetics breakdown video

Trending Product: Grip Primer [11:39](#)

- **Grip Primer** is a booming product category and one of e.l.f.'s best sellers both on DTC and Amazon
- What it does: a makeup primer that creates a long-lasting tacky base, helping makeup adhere better to skin for extended wear — makes makeup last longer
- Product solves a real problem (makeup longevity), which explains its growth trajectory
- e.l.f. is **dominating Amazon charts** for this product
- Anecdotal validation: host's girlfriend uses the product — spotted it on her bathroom counter